LESSON 2

Recording Transactions

Learning outcomes. By the end of this lesson you should be able to:

- identify common source documents used in accounting;
- explain the principle of double-entry bookkeeping;
- record transactions using debits and credits correctly.

1.1 Source documents

Source documents are the original papers or electronic files that prove a financial transaction has occurred. Typical examples are:

- **Invoice** – a request for payment from a supplier.
- **Receipt** – proof that cash has been received.
- **Bank statement** – a record of deposits and withdrawals.
- **Payroll slip** – details of salaries paid to employees.

These documents provide the data that will be entered into the accounting system.

Worked example

A shop purchases inventory on credit. The supplier sends an invoice showing $1,200 for goods, terms “pay within 30 days”, and the supplier’s account number. The invoice is kept as the source document for the purchase entry.

1.2 Double-entry bookkeeping

Double-entry bookkeeping requires that every transaction affect at least two accounts, keeping the accounting equation

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

in balance. One account is debited and another is credited for the same amount.

The rule can be summarised:

- Increase an asset $\rightarrow$ debit; decrease an asset $\rightarrow$ credit.
- Increase a liability or equity $\rightarrow$ credit; decrease a liability or equity $\rightarrow$ debit.

Worked example

The shop from the previous example receives the inventory. The transaction is recorded as:

- Debit *Inventory* $1,200 (asset increase).
- Credit *Accounts Payable* $1,200 (liability increase).

The total debits equal total credits, so the equation stays balanced.

1.3 Debits and credits

A **debit** is an entry on the left side of a T-account; a **credit** is an entry on the right side. Whether the entry increases or decreases an account depends on the account type, as shown above.

Worked example

A customer pays $500 cash for services rendered. The entry is:

- Debit *Cash* $500 (asset increase).
- Credit *Service Revenue* $500 (revenue, part of equity, increase).

Key test. For a given transaction, list the source document, identify the accounts affected, and write the debit and credit amounts. Check that total debits equal total credits.

1.4 Exercises

1. Identify the source document for each of the following: (a) a bank deposit slip, (b) a sales receipt, (c) a payroll register.

2. Record the purchase of equipment costing $2,500 paid cash. Show the debit and credit entries.

3. A company receives a $1,000 loan from a bank. Prepare the double-entry record, indicating which accounts are debited and credited.

1.5 Key terms

Term	Meaning
Source document	Original evidence of a financial transaction (invoice, receipt, etc.).
Double-entry bookkeeping	System where each transaction is recorded with equal debits and credits, keeping the accounting equation balanced.
Debit	Left-hand entry in an account; increases assets or decreases liabilities/equity.
Credit	Right-hand entry in an account; increases liabilities/equity or decreases assets.

LESSON 3

The General Ledger

Learning outcomes. By the end of this lesson you should be able to:

- define a **ledger account** and describe its purpose;
- explain how to **post** a transaction to the appropriate accounts;
- compute the balance of an account and verify that debits equal credits.

2.1 Ledger accounts

A **ledger account** is a record that summarises all the increases and decreases of a single item of financial information, such as cash, inventory, or capital. Each account has two sides: the **debit side** and the **credit side**. For asset accounts, debits increase the balance; for liability and equity accounts, credits increase the balance.

Worked example

The cash account starts with a balance of $0. A cash sale of $500 is recorded as a debit of $500 on the cash account because cash (an asset) increases.

2.2 Posting transactions

Posting means transferring the amounts from a journal entry to the appropriate ledger accounts. The steps are:

1. Identify the accounts affected by the transaction.
2. Determine whether each account is debited or credited.
3. Write the amount on the correct side of each ledger account.
4. Update the running balance of each account.

Worked example

A company purchases equipment for $1,200 cash. The journal entry is:

$$\text{Equipment Debit } \$1{,}200 \quad \text{Cash Credit } \$1{,}200$$

Posting adds $1,200 to the debit side of the Equipment account and $1,200 to the credit side of the Cash account.

2.3 Balancing an account

Balancing means adding up the debit and credit columns of an account and writing the difference as the **balance**. The balance is shown on the side opposite the larger total.

$$\text{Balance} = \left|\text{Total Debits} - \text{Total Credits}\right|$$

If total debits exceed total credits, the balance is a debit balance; otherwise it is a credit balance.

Worked example

The cash account shows total debits of \$3,500 and total credits of \$2,200. The balance is:

$$\$3{,}500 - \$2{,}200 = \$1{,}300 \text{ (debit balance)}$$

The \$1,300 is written on the credit side to bring the two sides equal.

Key test. For a given transaction, list the accounts, indicate debit or credit, post the amounts, and compute the new balances. Verify that the total debits equal total credits after posting.

2.4 Exercises

1. Create a ledger account for *Supplies*. Record a purchase of \$400 on credit and a payment of \$150 in cash. Show the posted entries and the final balance.

2. A service is performed on account for \$800. Post the transaction to the appropriate accounts and state the effect on each account's balance.

3. Given the following totals for an account: debits \$2,750, credits \$3,100. Determine the balance and indicate on which side it should be recorded.

2.5 Key terms

Term	Meaning
Ledger account	A record that tracks all debits and credits for a single item such as cash or inventory.
Posting	The process of transferring amounts from journal entries to the appropriate ledger accounts.
Balance	The difference between total debits and total credits in an account, shown on the side opposite the larger total.
Debit side	The left side of an account; increases assets and expenses, decreases liabilities, equity, and revenue.
Credit side	The right side of an account; increases liabilities, equity, and revenue, decreases assets and expenses.

LESSON 4

The Trial Balance

Learning outcomes. By the end of this lesson you should be able to:

- prepare a trial balance from ledger balances;
- identify common errors that cause a trial balance not to balance;
- apply simple techniques to locate and correct those errors.

3.1 Preparing a trial balance

A **trial balance** is a list of all ledger account balances at a given date, with debit balances in one column and credit balances in another. The total of the debit column must equal the total of the credit column if the books are arithmetically correct.

Steps to prepare a trial balance:

1. Extract the closing balance of each account from the general ledger.
2. Write each account name in the first column.
3. Place the balance in the debit column if it is a debit balance, otherwise in the credit column.
4. Sum each column and write the totals at the bottom.

Worked example

The ledger shows the following closing balances:

Account	Debit	Credit
Cash	12,000	
Accounts Receivable	5,000	
Supplies	1,200	
Accounts Payable		4,000
Capital		14,200

The trial balance is prepared as:

Account	Debit	Credit
Cash	12,000	
Accounts Receivable	5,000	
Supplies	1,200	
Accounts Payable		4,000
Capital		14,200
Total	18,200	18,200

3.2 Finding and correcting errors

If the debit and credit totals do not match, one or more errors exist. Common sources are:

1. **Transposition error**: digits are reversed (e.g., 540 written as 450).
2. **Slide error**: a digit is moved one place (e.g., 150 written as 1050).
3. **Omission**: an entry is left out of the trial balance.
4. **Duplication**: an entry is recorded twice.
5. **Wrong side**: a debit is entered as a credit or vice-versa.

Techniques to locate the error:

- Re-add the columns using a calculator to confirm the totals.
- Check each ledger balance against the trial-balance entry.
- Use the difference amount: if the discrepancy is divisible by 9, a transposition error is likely; if it ends in zero, a slide error is possible.
- Verify that every ledger account appears exactly once.

Worked example

A trial balance shows a total debit of $23,470 and a total credit of $23,400. The difference is $70. Because 70 is not divisible by 9, a transposition error is unlikely. The accountant checks the Supplies account, which should be $1,200 but was entered as $1,270 (a slide error of adding a zero). Correcting the entry reduces the debit total to $23,400, and the trial balance now balances.

Key test. Prepare a trial balance from the following ledger balances and state whether it balances. If it does not, identify the type of error that could cause the discrepancy and suggest a correction method.

- Sales Revenue: Credit $9,800
- Rent Expense: Debit $1,200
- Inventory: Debit $4,500
- Accounts Payable: Credit $3,300
- Owner's Capital: Credit $2,200

3.3 Exercises

1. Using the ledger balances in the example above, prepare a correct trial balance.
2. A trial balance shows debits $15,340 and credits $15,340. List three possible errors that could still be present despite the balance.
3. The difference between debit and credit totals is $126. Explain how you would test whether this is a transposition error.

3.4 Key terms

Term	Meaning
Trial balance	List of all ledger balances with separate debit and credit columns; totals should match.
Transposition error	Digits reversed, e.g., 54 written as 45.
Slide error	A digit moved one place, e.g., 150 written as 1050.
Omission	An account balance left out of the trial balance.
Duplication	An account balance entered more than once.
Wrong side	Debit entered as credit or vice-versa.

LESSON 5

Adjusting Entries

Learning outcomes. By the end of this lesson you should be able to:

- record accrual adjusting entries;
- record prepayment adjusting entries;
- calculate and record depreciation;
- estimate and record bad debt expense.

4.1 Accruals

An **accrual** is an expense or revenue that has been incurred but not yet recorded in the books. The adjusting entry recognises the amount in the period it relates to.

Worked example

At 31 March a company has used electricity worth $1,200 but the bill will be received next month. The adjusting entry is:

$$\text{Debit Electricity Expense } \$1{,}200 \quad \text{Credit Accrued Expenses } \$1{,}200$$

Key test. Have you identified any expenses or revenues that belong to the period but are not yet reflected in the trial balance?

4.2 Prepayments

A **prepayment** is an expense paid in advance of the period it benefits. The adjusting entry moves the portion that relates to the current period from an asset to an expense.

Worked example

A one-year insurance policy costs $12,000 and is paid on 1 July. On 31 December, six months have expired. The adjusting entry is:

$$\text{Debit Insurance Expense } \$6{,}000 \quad \text{Credit Prepaid Insurance } \$6{,}000$$

Key test. Does any asset represent a service or benefit that will be consumed after the reporting date?

4.3 Depreciation

Depreciation allocates the cost of a tangible fixed asset over its useful life. The most common method is straight-line depreciation.

Worked example

Machinery costs $50,000, has a residual value of $5,000 and a useful life of 5 years. Annual depreciation:

$$\frac{50{,}000 - 5{,}000}{5} = \$9{,}000$$

The adjusting entry at year-end is:

Debit Depreciation Expense $\$9{,}000$Credit Accumulated Depreciation – Machinery $\$9{,}000$

Key test. Have you calculated the depreciation for each fixed asset based on its cost, residual value and useful life?

4.4 Bad Debts

Bad debts are amounts owed by customers that are unlikely to be collected. The allowance method estimates the uncollectible portion and records an expense.

Worked example

Accounts receivable total $40,000. Management estimates that 5% will be uncollectible. Required allowance:

$$0.05 \times 40{,}000 = \$2{,}000$$

If the existing allowance balance is $500, the adjusting entry is:

Debit Bad Debt Expense $\$1{,}500$Credit Allowance for Doubtful Accounts $\$1{,}500$

Key test. Does the allowance for doubtful accounts reflect the estimated uncollectible amount after the adjusting entry?

4.5 Exercises

1. A company earned $3,500 of consulting revenue on 28 February but will invoice the client on 5 March. Prepare the adjusting entry.

2. Rent of $24,000 is paid on 1 January for the whole year. Record the adjusting entry for 31 March.

3. A delivery truck was purchased for $30,000, has a residual value of $3,000 and a useful life of 6 years. Compute the depreciation expense for the first year and write the adjusting entry.

4. Accounts receivable are $25,000. The company expects 4% will be uncollectible. The current allowance balance is $600. Determine the adjusting entry required.

4.6 Key terms

Term	Meaning
Accrual	Expense or revenue incurred but not yet recorded.
Prepayment	Payment made before the related benefit is received.
Depreciation	Systematic allocation of a fixed asset's cost over its useful life.
Bad debt	Amount of receivable that is estimated to be unrecoverable.
Allowance for doubtful accounts	Contra-asset account that offsets accounts receivable for estimated bad debts.

LESSON 6

The Income Statement

Learning outcomes. By the end of this lesson you should be able to:

- define **revenues** and give examples;
- define **expenses** and give examples;
- calculate **gross profit** from revenues and cost of goods sold;
- calculate **net profit** from gross profit and other expenses.

5.1 Revenues

Revenues are the total amount of money earned from selling goods or providing services before any costs are deducted. For a retailer, revenue is the sales price of all items sold in a period.

Worked example

A coffee shop sells 1,200 cups of coffee at $3 each in one month. Revenue = $1,200 \times 3 = \$3,600$.

5.2 Expenses

Expenses are the costs incurred to earn the revenues. They include rent, salaries, utilities, and the cost of the goods sold. Expenses are recorded in the period in which they are incurred.

Worked example

The same coffee shop pays $800 for coffee beans, $400 for rent, and $300 for wages in the month. Total expenses = $800 + $400 + $300 = $1,500.

5.3 Gross Profit

Gross profit measures how much money remains after subtracting the cost of goods sold (COGS) from revenues. It shows the profitability of core sales before operating expenses.

$$\text{Gross profit} = \text{Revenues} - \text{Cost of goods sold}$$

Worked example

From the coffee shop data: Revenues = $3,600, COGS (coffee beans) = $800. Gross profit = $3,600 - 800 = \$2,800$.

5.4 Net Profit

Net profit is the final profit after all expenses, including operating costs, interest, and taxes, are deducted from gross profit. It indicates the overall profitability of the business.

$$\text{Net profit} = \text{Gross profit} - \text{Operating expenses} - \text{Interest} - \text{Taxes}$$

Worked example

Continuing the coffee shop: Gross profit = $2,800. Operating expenses (rent + wages) = $700. No interest or taxes are considered here. Net profit = $2,800 - 700 = \$2,100$.

Key test. Given a set of sales figures and a list of costs, can you compute gross profit and then net profit correctly?

5.5 Exercises

1. A bakery reports monthly sales of $5,000. Its cost of ingredients is $1,800. Calculate gross profit.
2. Using the gross profit from the previous question, subtract rent ($600) and wages ($900) to find net profit.
3. List three examples of revenues and three examples of expenses for a software company.

5.6 Key terms

Term	Meaning
Revenues	Total earnings from sales of goods or services before any costs.
Expenses	All costs incurred to generate revenues, including COGS, rent, salaries, etc.
Gross profit	Revenues minus cost of goods sold; profit from core operations.
Net profit	Gross profit minus all other expenses, interest, and taxes; final profit.

LESSON 7

The Balance Sheet

Learning outcomes. By the end of this lesson you should be able to:

- define **assets**, **liabilities** and **equity**;
- classify items as current or non-current;
- read a simple balance sheet and explain the relationship Assets $=$ Liabilities $+$ Equity;
- identify where common business items appear on the statement.

6.1 Assets

Assets are resources owned by a company that are expected to bring economic benefit. They are recorded at cost or fair value.

Worked example

A retailer purchases inventory for $10,000. The inventory is an asset because it will be sold to generate cash.

6.2 Liabilities

Liabilities are obligations of the company to transfer cash or other assets to another party. They arise from past transactions.

Worked example

The retailer takes a bank loan of $5,000. The loan amount is a liability because the company must repay it with interest.

6.3 Equity

Equity (or owners' equity) is the residual interest in the assets after deducting liabilities. It represents the owners' claim on the business.

Worked example

If the retailer's assets total $15,000 and liabilities are $5,000, equity equals $10,000. This is the owners' stake in the firm.

6.4 Current and Non-Current Items

Current assets are expected to be converted into cash, sold, or consumed within one year (e.g., cash, accounts receivable, inventory). **Non-current assets** provide benefit for more than one year (e.g., property, plant, equipment).

Current liabilities are obligations due within one year (e.g., accounts payable, short-term loans). **Non-current liabilities** are due after one year (e.g., long-term debt, deferred tax).

Worked example

The retailer's cash of $2,000 and inventory of $8,000 are current assets. Its delivery van worth $12,000 is a non-current asset. The short-term supplier bill of $3,000 is a current liability, while the bank loan of $5,000 is a non-current liability.

Key test. For each line item on a balance sheet, ask: Is it a resource owned by the firm? If yes, is it an asset? If it is an obligation, is it a liability? Then decide whether it will be settled or used within one year (current) or beyond (non-current). Finally, check that total assets equal total liabilities plus equity.

6.5 Exercises

1. List three examples of current assets and three examples of non-current assets for a service company.

2. A company has cash $4,000, equipment $20,000, accounts payable $6,000 and a mortgage $10,000. Compute equity.

3. Classify the following items as current or non-current: (a) short-term bank overdraft, (b) patent, (c) accrued wages, (d) building.

6.6 Key terms

Term	Meaning
Assets	Resources owned that will provide future economic benefit.
Liabilities	Present obligations to transfer assets or provide services.
Equity	Owners' residual interest after liabilities are deducted from assets.
Current assets	Assets expected to be realised or used within one year.
Non-current assets	Assets expected to provide benefit for more than one year.
Current liabilities	Obligations due within one year.
Non-current liabilities	Obligations due after one year.

LESSON 8

Cash Flow Basics

Learning outcomes. By the end of this lesson you should be able to:

- define the three categories of cash-flow activities;
- classify typical cash transactions into operating, investing or financing activities;
- read a simple cash-flow statement and identify the net cash change for each category.

7.1 Operating activities

Operating activities are the cash inflows and outflows that arise from a company's core business operations. They include cash received from customers, cash paid to suppliers, wages, taxes and interest.

Worked example

A bakery sells cakes for cash $5{,}000$ during the month and pays $2{,}000$ for flour, $1{,}200$ for wages and 300 for utilities. The net cash from operating activities is $5{,}000 - 2{,}000 - 1{,}200 - 300 = \$1{,}500$.

Key test. Is the cash transaction directly related to producing and selling the company's main product or service? If yes, it is an operating activity.

7.2 Investing and financing activities

Investing activities involve cash used to acquire or dispose of long-term assets such as equipment, buildings or securities. Buying a machine for $10{,}000$ is a cash outflow; selling a piece of land for $15{,}000$ is a cash inflow.

Financing activities are cash flows that change the equity or borrowings of the firm. Issuing shares for $20{,}000$, borrowing a loan of $5{,}000$, repaying a loan of $2{,}000$ or paying dividends of $1{,}000$ are financing cash flows.

Worked example

During a quarter a company purchases equipment for $8{,}000$ (investing outflow), receives $12{,}000$ from selling an old vehicle (investing inflow), issues new shares for $25{,}000$ (financing inflow) and repays $5{,}000$ of a bank loan (financing outflow). The net investing cash flow is $12{,}000 - 8{,}000 = \$4{,}000$ and the net financing cash flow is $25{,}000 - 5{,}000 = \$20{,}000$.

Key test. Does the cash move affect long-term assets or the firm's capital structure? If yes, classify it as investing (assets) or financing (equity/borrowings).

7.3 Reading a cash flow statement

A cash flow statement reports cash flows in three sections: operating, investing and financing. The statement begins with net cash from operating activities, adds net cash from investing, then adds net cash from financing. The sum equals the change in cash and cash equivalents for the period.

Worked example

$$\begin{aligned}\text{Net cash from operating activities} &= \$3{,}000\\ \text{Net cash from investing activities} &= -\$1{,}200\\ \text{Net cash from financing activities} &= \$2{,}500\\ \hline \text{Net change in cash} &= \$3{,}000 - \$1{,}200 + \$2{,}500 = \$4{,}300\end{aligned}$$

The cash balance at the start of the period was \$10,000, so the ending cash balance is \$14,300.

Key test. Verify that the three sections add up to the reported change in cash. If the numbers do not balance, check for classification errors or missing items.

7.4 Exercises

1. List three cash transactions that belong to operating activities for a retail store.
2. A company buys a computer for \$2,000 and sells a piece of land for \$5,000. Classify each transaction and compute the net investing cash flow.
3. The cash flow statement shows: Operating \$4,000, Investing $-\$1,500$, Financing \$2,000. What is the change in cash? If the opening cash balance was \$6,000, what is the closing balance?

7.5 Key terms

Term	Meaning
Operating activities	Cash flows from the core business operations, such as sales receipts and payments to suppliers.
Investing activities	Cash flows related to acquisition or disposal of long-term assets and investments.
Financing activities	Cash flows that alter the firm's equity or borrowings, including dividends, loans and share issues.
Cash flow statement	Financial report that summarises cash inflows and outflows in the three activity categories for a period.
Net cash change	The sum of cash flows from operating, investing and financing activities; equals the increase or decrease in cash balances.